

AURAS Technology (3324 TT)

 Target price: **TWD1,600.00** (from TWD1,640.00)

 Share price (7 Aug): **TWD1,015.00** | Up/downside: **+57.6%**

5 4 3 2 1

 **Buy**
(unchanged)

2Q26 results review: missed expectations

- 2Q net profit missed our and Bloomberg consensus by 15-21%
- Brighter-than-expected 3Q26 outlook from GB orders
- Reiterating our Buy (1) rating; trimming 12-month TP to TWD1,600

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What's new: Auras released its 2Q26 results on 7 August after market hours. We reaffirm our Buy (1) rating, as we believe Auras' liquid-cooling capability will continue to help it gain order share in GPU and ASIC AI servers.

What's the impact: 2Q26 results missed. Auras' 2Q26 revenue of TWD8.7bn (+1.7% QoQ, +64.0% YoY) was in line with our and Bloomberg consensus estimates. Its 2Q26 gross margin came in at 28.4% (vs. 29.7% in 1Q26 and 26.1% in 2Q25), lower than our (29.0%) and consensus (29.3%) estimates, including 1pp of negative impact from inventory write-offs and inventory losses despite more-favourable-than-expected product mix (78% of revenue from servers in 2Q26 vs. 76% in 1Q26; 55% of revenue from liquid cooling in 2Q26, same as 1Q26). Thus, its operating profit of TWD1.39bn (-8.5% QoQ and +119.4% YoY) missed our and the consensus estimates by 6.2% and 12.4%, respectively, after factoring higher sampling and marketing expenses. Its operating margin of 16.0% (vs. 17.8% in 1Q26 and 11.9% in 2Q25) thus missed our forecast of 17.0% but beat the consensus of 18.0%. Overall, its net profit of TWD969m (-16.8% QoQ, +512.8% YoY) missed our and the consensus estimates by 14.9% and 21.4%, respectively. Its 2Q26 EPS came in at TWD10.41. Its 2Q26 product mix by revenue: servers 78% (+184% YoY), PC 17% (-10% YoY), VGA 4% (-69% YoY) and others 1% (-45% YoY).

Stronger 2H26 outlook vs. 1H26, with rising liquid-cooling revenue exposure. We now forecast its 3Q26 revenue to grow by 19.1% QoQ from previous 8.1% QoQ, after seeing the revenue strengths in August (see [memo](#), 5 August) and we believe the monthly revenue momentum should continue to the following months, mainly thanks to the GB orders and ASICs projects. Auras is working on the approval of its cold plate for VR. We expect its liquid cooling revenue % to further rise QoQ to 60%+ in 3Q26. We slightly lower our 2026-28E EPS by 2-3% on more conservative gross and operating margin forecasts.

What we recommend: We reiterate our Buy (1) call as we trim our 12M TP to TWD1,600 (from TWD1,640), now based on a target PER of 22x (from 25x), close to the mid-point of its past-3-year range of 11-38x (average PER: 20x), on our 1-year forward EPS. Key downside risks: softer-than-expected end-market demand, penetration rate of new specs and liquid-cooling development.

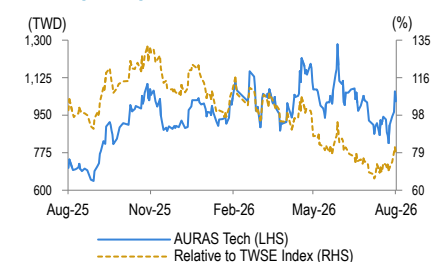
How we differ: Our 2028E EPS is 9% above consensus, as we are more aggressive on revenue and gross and operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	2.9	3.0	3.1
Net profit change	1.3	0.6	2.1
Core EPS (FD) change	(1.5)	(2.9)	(1.5)

Source: Daiwa forecasts

Share price performance



12-month range	643.00-1,280.00
Market cap (USDbn)	2.93
3m avg daily turnover (USDm)	94.57
Shares outstanding (m)	93
Major shareholder	Management (20.1%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	38,511	47,487	57,197
Operating profit (m)	6,892	9,213	12,183
Net profit (m)	5,308	7,228	9,434
Core EPS (fully-diluted)	55.115	74.451	97.173
EPS change (%)	99.7	35.1	30.5
Daiwa vs Cons. EPS (%)	(3.2)	0.1	9.3
PER (x)	18.4	13.6	10.4
Dividend yield (%)	2.3	3.1	4.0
DPS	22.9	31.1	40.6
PBR (x)	6.3	4.9	3.8
EV/EBITDA (x)	13.0	9.9	7.5
ROE (%)	40.9	42.5	42.9

Source: FactSet, Daiwa forecasts

Auras: revenue and earnings forecasts revisions

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	38,511	37,441	2.9%	47,487	46,096	3.0%	57,197	55,458	3.1%
Gross profit	11,476	11,232	2.2%	14,484	14,520	-0.3%	18,017	17,747	1.5%
Gross margin	29.8%	30.0%	-0.2pp	30.5%	31.5%	-1pp	31.5%	32.0%	-0.5pp
Operating profit	6,892	6,776	1.7%	9,213	9,404	-2.0%	12,183	12,090	0.8%
Operating margin	17.9%	18.1%	-0.2pp	19.4%	20.4%	-1pp	21.3%	21.8%	-0.5pp
Net profit	5,308	5,239	1.3%	7,228	7,182	0.6%	9,434	9,238	2.1%
Net margin	13.8%	14.0%	-0.2pp	15.2%	15.6%	-0.4pp	16.5%	16.7%	-0.2pp
Fully-diluted EPS (TWD)	55.12	55.96	-1.5%	74.45	76.71	-2.9%	97.17	98.67	-1.5%

Source: Daiwa forecasts

Auras: 2Q26 results review

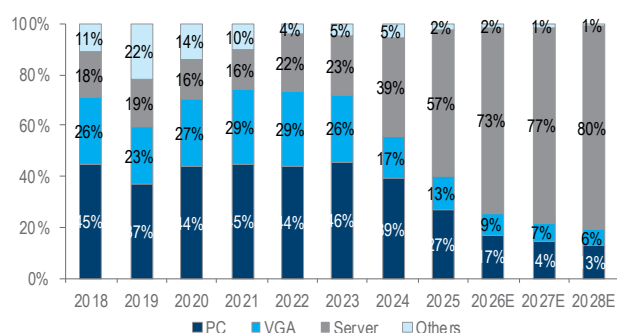
(TWDm)	Auras' 2Q26 results	Our forecasts	Differ	Bloomberg consensus	Differ
Revenue	8,700	8,699	0.0%	8,815	-1.3%
Gross profit	2,472	2,523	-2.0%	2,586	-4.4%
Operating profit	1,390	1,483	-6.2%	1,588	-12.4%
Profit before tax	1,317	1,529	-13.8%	1,609	-18.1%
Net profit	969	1,138	-14.9%	1,232	-21.4%
EPS	10.41	12.33	-15.6%	13.29	-21.6%
Margin					
Gross margin	28.4%	29.0%	-0.6pp	29.3%	-0.9pp
Operating margin	16.0%	17.0%	-1.1pp	18.0%	-2pp
Pre-tax margin	15.1%	17.6%	-2.4pp	18.3%	-3.1pp
Net margin	11.1%	13.1%	-1.9pp	14.0%	-2.8pp

Source: Company, Bloomberg, Daiwa forecasts

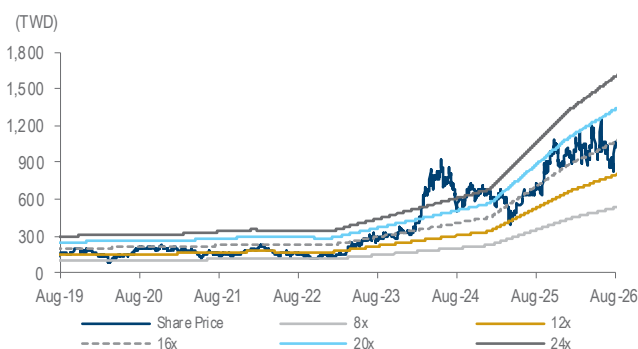
Auras: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	8,552	8,700	10,365	10,893	10,400	11,000	12,200	13,887	38,511	47,487	57,197
Gross profit	2,537	2,472	3,110	3,358	3,120	3,333	3,745	4,285	11,476	14,484	18,017
Operating profit	1,520	1,390	1,950	2,032	1,970	2,103	2,445	2,694	6,892	9,213	12,183
Pre-tax profit	1,570	1,317	1,996	2,079	2,021	2,154	2,497	2,745	6,962	9,417	12,388
Net profit	1,164	969	1,557	1,618	1,537	1,645	1,922	2,124	5,308	7,228	9,434
Basic EPS (TWD)	12.61	10.41	16.72	17.39	16.52	17.67	20.65	22.82	57.13	77.66	101.36
Margin											
Gross margin	29.7%	28.4%	30.0%	30.8%	30.0%	30.3%	30.7%	30.9%	29.8%	30.5%	31.5%
Operating margin	17.8%	16.0%	18.8%	18.7%	18.9%	19.1%	20.0%	19.4%	17.9%	19.4%	21.3%
Pre-tax margin	18.4%	15.1%	19.3%	19.1%	19.4%	19.6%	20.5%	19.8%	18.1%	19.8%	21.7%
Net margin	13.6%	11.1%	15.0%	14.9%	14.8%	15.0%	15.8%	15.3%	13.8%	15.2%	16.5%
YoY											
Revenue	93.7%	64.0%	74.0%	43.4%	21.6%	26.4%	17.7%	27.5%	65.4%	23.3%	20.4%
Gross profit	109.9%	78.3%	75.4%	67.6%	23.0%	34.8%	20.4%	27.6%	80.1%	26.2%	24.4%
Operating profit	169.7%	119.4%	96.4%	90.1%	29.6%	51.3%	25.4%	32.6%	111.5%	33.7%	32.2%
Pre-tax profit	135.6%	524.9%	65.7%	73.9%	28.7%	63.5%	25.1%	32.1%	112.4%	35.3%	31.5%
Net profit	127.7%	512.8%	59.9%	74.2%	32.1%	69.8%	23.5%	31.2%	106.4%	36.2%	30.5%
QoQ											
Revenue	12.6%	1.7%	19.1%	5.1%	-4.5%	5.8%	10.9%	13.8%			
Gross profit	26.6%	-2.5%	25.8%	8.0%	-7.1%	6.8%	12.4%	14.4%			
Operating profit	42.1%	-8.5%	40.2%	4.2%	-3.1%	6.8%	16.3%	10.2%			
Pre-tax profit	31.3%	-16.1%	51.5%	4.1%	-2.8%	6.6%	15.9%	10.0%			
Net profit	25.3%	-16.8%	60.7%	4.0%	-5.0%	7.0%	16.9%	10.5%			

Source: Company, Daiwa forecasts

Auras: product mix


Source: Company, Daiwa forecasts

Auras: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server revenue YoY growth (%)	17.7	37.7	(5.8)	109.7	117.9	110.0	30.0	25.0
PC revenue YoY growth (%)	20.5	(4.9)	(4.6)	5.4	1.7	5.0	5.0	5.0
VGA revenue YoY growth (%)	26.6	(2.3)	(17.6)	(20.5)	18.1	5.0	5.0	5.0
Others revenue YoY growth (%)	(15.2)	(58.5)	5.2	35.7	(37.7)	10.0	10.0	10.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server	2,257	3,107	2,927	6,139	13,375	28,088	36,514	45,643
PC	6,422	6,106	5,824	6,138	6,242	6,554	6,882	7,226
Other Revenue	5,579	4,643	3,962	3,502	3,659	3,868	4,091	4,328
Total Revenue	14,258	13,857	12,713	15,779	23,276	38,511	47,487	57,197
Other income	0	0	0	0	0	0	0	0
COGS	(11,595)	(11,135)	(9,708)	(11,753)	(16,904)	(27,034)	(33,004)	(39,180)
SG&A	(771)	(914)	(951)	(1,201)	(1,702)	(2,657)	(3,134)	(3,546)
Other op.expenses	(513)	(635)	(678)	(914)	(1,411)	(1,927)	(2,137)	(2,288)
Operating profit	1,379	1,173	1,376	1,911	3,259	6,892	9,213	12,183
Net-interest inc./(exp.)	(22)	(29)	(5)	9	(34)	(95)	(95)	(95)
Assoc/forex/extraord./others	64	483	197	446	53	165	300	300
Pre-tax profit	1,421	1,628	1,568	2,366	3,277	6,962	9,417	12,388
Tax	(268)	(341)	(329)	(434)	(580)	(1,323)	(1,789)	(2,354)
Min. int./pref. div./others	(21)	(23)	(7)	(39)	(126)	(331)	(400)	(600)
Net profit (reported)	1,133	1,264	1,232	1,893	2,572	5,308	7,228	9,434
Net profit (adjusted)	1,133	1,264	1,232	1,893	2,572	5,308	7,228	9,434
EPS (reported)(TWD)	13.117	14.676	14.281	21.227	28.256	57.127	77.658	101.359
EPS (adjusted)(TWD)	13.117	14.676	14.281	21.227	28.256	57.127	77.658	101.359
EPS (adjusted fully-diluted)(TWD)	12.596	14.044	13.678	20.688	27.598	55.115	74.451	97.173
DPS (TWD)	6.000	6.500	6.350	10.000	12.000	22.851	31.118	40.615
EBIT	1,379	1,173	1,376	1,911	3,259	6,892	9,213	12,183
EBITDA	1,899	1,709	1,847	2,420	3,931	7,564	9,884	12,855

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,421	1,628	1,568	2,366	3,277	6,962	9,417	12,388
Depreciation and amortisation	520	536	470	509	672	672	672	672
Tax paid	(149)	(271)	(368)	(468)	(417)	(1,323)	(1,789)	(2,354)
Change in working capital	(233)	(769)	296	(667)	(3,812)	(4,050)	(3,974)	(2,874)
Other operational CF items	(115)	116	6	(97)	(315)	95	95	95
Cash flow from operations	1,444	1,240	1,971	1,643	(594)	2,356	4,421	7,928
Capex	(1,030)	(615)	(835)	(1,436)	(2,234)	(1,800)	(1,800)	(1,800)
Net (acquisitions)/disposals	96	11	(85)	(41)	(370)	(376)	(376)	(376)
Other investing CF items	(105)	(28)	(134)	(90)	(90)	0	0	0
Cash flow from investing	(1,038)	(633)	(1,053)	(1,567)	(2,695)	(2,176)	(2,176)	(2,176)
Change in debt	677	(61)	(386)	1,608	2,762	200	200	200
Net share issues/(repurchases)	(447)	0	0	167	155	0	0	0
Dividends paid	(482)	(517)	(577)	(571)	(903)	(1,108)	(2,123)	(2,891)
Other financing CF items	(51)	(52)	(43)	160	(64)	0	0	0
Cash flow from financing	(303)	(629)	(1,007)	1,364	1,950	(908)	(1,923)	(2,691)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	102	(22)	(89)	1,441	(1,338)	(728)	322	3,060
Free cash flow	414	625	1,136	208	(2,828)	556	2,621	6,128

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,494	1,484	1,366	2,809	1,439	711	1,033	4,093
Inventory	2,301	2,081	2,391	2,934	6,179	8,196	10,963	12,408
Accounts receivable	4,849	4,570	4,613	5,462	10,128	14,954	19,490	22,843
Other current assets	334	286	284	475	842	842	842	842
Total current assets	8,978	8,420	8,653	11,680	18,587	24,703	32,329	40,186
Fixed assets	2,442	2,715	3,126	4,083	6,150	6,750	7,350	7,950
Goodwill & intangibles	125	173	187	212	197	197	197	197
Other non-current assets	350	435	646	951	1,190	1,190	1,190	1,190
Total assets	11,895	11,743	12,612	16,926	26,125	32,840	41,066	49,523
Short-term debt	416	1,498	232	475	2,678	2,678	2,678	2,678
Accounts payable	4,938	3,668	4,136	5,019	9,311	12,131	15,487	17,436
Other current liabilities	315	454	419	407	534	122	122	122
Total current liabilities	5,670	5,620	4,787	5,902	12,523	14,930	18,286	20,236
Long-term debt	350	255	172	313	630	830	1,030	1,230
Other non-current liabilities	967	58	786	1,423	1,477	1,477	1,477	1,477
Total liabilities	6,986	5,933	5,745	7,638	14,630	17,237	20,794	22,943
Share capital	884	884	895	918	931	929	929	929
Reserves/R.E./others	3,859	4,682	5,741	8,043	10,154	13,932	18,202	23,910
Shareholders' equity	4,743	5,566	6,635	8,961	11,085	14,862	19,131	24,839
Minority interests	166	244	231	327	410	741	1,141	1,741
Total equity & liabilities	11,895	11,743	12,612	16,926	26,125	32,840	41,066	49,523
EV	93,909	94,984	93,740	92,778	96,750	98,009	98,287	96,027
Net debt/(cash)	(728)	269	(961)	(2,020)	1,869	2,797	2,675	(185)
BVPS (TWD)	53.654	62.968	74.140	97.655	119.093	159.953	205.906	267.335

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	16.7	(2.8)	(8.3)	24.1	47.5	65.4	23.3	20.4
EBITDA (YoY)	(3.9)	(10.0)	8.0	31.1	62.4	92.4	30.7	30.1
Operating profit (YoY)	(11.7)	(14.9)	17.3	38.8	70.6	111.5	33.7	32.2
Net profit (YoY)	1.9	11.6	(2.5)	53.6	35.9	106.4	36.2	30.5
Core EPS (fully-diluted) (YoY)	(0.2)	11.5	(2.6)	51.3	33.4	99.7	35.1	30.5
Gross-profit margin	18.7	19.6	23.6	25.5	27.4	29.8	30.5	31.5
EBITDA margin	13.3	12.3	14.5	15.3	16.9	19.6	20.8	22.5
Operating-profit margin	9.7	8.5	10.8	12.1	14.0	17.9	19.4	21.3
Net profit margin	7.9	9.1	9.7	12.0	11.1	13.8	15.2	16.5
ROAE	24.3	24.5	20.2	24.3	25.7	40.9	42.5	42.9
ROAA	10.3	10.7	10.1	12.8	11.9	18.0	19.6	20.8
ROCE	26.5	17.7	18.6	22.0	26.2	40.6	42.8	44.7
ROIC	29.9	18.1	18.2	23.7	26.0	35.2	36.1	40.0
Net debt to equity	n.a.	4.8	n.a.	n.a.	16.9	18.8	14.0	n.a.
Effective tax rate	18.8	21.0	21.0	18.4	17.7	19.0	19.0	19.0
Accounts receivable (days)	122.0	124.1	131.8	116.5	122.2	118.9	132.4	135.1
Current ratio (x)	1.6	1.5	1.8	2.0	1.5	1.7	1.8	2.0
Net interest cover (x)	63.6	40.9	255.1	n.a.	95.8	72.4	96.8	128.0
Net dividend payout	45.7	44.3	44.5	47.1	42.5	40.0	40.1	40.1
Free cash flow yield	0.4	0.7	1.2	0.2	n.a.	0.6	2.8	6.5

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1998 and listed on Taiwan's OTC stock board in May 2005, AURAS Technology (Auras) is a leading global thermal solutions provider that offers a one-stop shopping model. Its major clients include Quanta, Compal, HP, Lenovo, Dell, Amazon and Meta. Major applications for the company's products are notebooks (consumer, commercial and gaming), desktops, VGA, servers and others.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The CEO and Chairperson of Auras are the same individual, and we see the Chairperson has served as Auras' vice president for 14 years, which is a positive sign from an executive perspective. We see no issue with its board quality.
	Capital management	2	Auras' dividend payout ratio was 42-46% over 2019-25, which we consider reasonable as the company is at a fast-growing stage.
	Related party & transaction	2	Cost of goods generated from related-party transactions was less than 1% of total COGS during 2022-25, and we found no suspicious activity.
E	Supply chain management	1	Auras has a complete process to select and review its supply chain to make sure its supply-chain management meets ESG requirements. For example, those who submit ICP testing report and have ISO9001, QC080000 and ESG-related certifications would be the preferred choice as suppliers.
E	Data security	2	To protect business information, Auras introduced the ISO 27001 management system in 2022, improving its information security system. Thus, when the company's business activities are affected by major disasters or equipment failure, Auras can effectively reduce the damage to an acceptable level, and ensure that the information operation process can be rebuilt.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 6 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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